Press Release

Bangladesh Bank
Monetary Policy Statement
January, 2006

Executive Summary

Background: This *Monetary Policy Statement* (MPS) is the first issue of a newly introduced half yearly release of the Bangladesh Bank. The MPS is intended to present for general information on Bangladesh Bank's outlook on real sector and monetary developments over the immediate future and the monetary policy stance it will pursue, based on its assessment of the developments over the preceding quarters.

Monetary policy strategy: The MPS starts with articulation of the monetary policy framework in terms of the goals, instruments, and the channels of transmission. Maintaining price stability while supporting the highest sustainable output growth is the stated objective of monetary policies pursued by the Bangladesh Bank.

Growth outlook: In view of good post flood recovery of agricultural output, stable manufacturing growth supported by continuing strong export demand of knit garments, robust service sector growth, and steady growth of remittances offsetting the deficit in trade balance, FY06 real GDP growth is expected to come in at the 6.3 to 6.8 percent range. Overall growth for the agricultural sector is likely to be in the 3.8 to 4.3 percent range in FY06, the principal contribution coming from the crop sub-sector. Industrial output growth for FY06 is expected to lie in a range of 8.0 to 8.5 percent, which is a shade lower than the 8.6 percent growth of FY05, but well in excess of the average recorded over the past five years. The service sector in FY06 is expected to build on the previous year's performance to attain growth in the range of 6.5 to 7.0 percent.

Inflation outlook: Over and above the high international prices of crude oil and continuing upward trend in prices of many other commodities, interest rates are on a rising trend in the global economy with associated increase in the inflationary expectations in the source countries of most imports. In the domestic scene, there is likelihood of another round of upward revision in the administered energy tariffs. On the positive side, in view of the bumper *aman* harvest, the food component of CPI is unlikely to register much further increase in the coming months. On balance, with the tightened monetary policy stance now adopted, the 12-month average inflation, at 6.9 percent as of November 05, is unlikely to exceed 7.0 percent over the remaining months of FY06 up to June 2006.

Policy stance: In view of the continuing inflationary pressure, Bangladesh Bank remains alert as to the necessity of further monetary measures, and shall also seek such coordinated fiscal stance as may be warranted by developments in the real and monetary sectors; with a view to containing inflationary expectations and facilitating smooth credit flow for productive pursuits in support of the targeted real output growth.

1. Introduction

The Monetary Policy Statement (MPS) is intended to outline the objective and the modalities of formulation and conducting of monetary policies by the Bangladesh Bank, its assessment of the recent and the expected monetary and price developments, and the stance of monetary policies that will be pursued over the near term.

Objectives of the monetary policies of the Bangladesh Bank as outlined in the Bangladesh Bank Order, 1972 comprise attaining and maintaining of price stability, high levels of production, employment and economic growth.

In the decades of seventies and eighties, monetary policies in Bangladesh were conducted with full direct control on interest rates and exchange rates, as also on the volumes and directions of credit flows; the dictated exchange rate served purpose as nominal anchor for prices. In such a directed regime with little or no role of financial prices in influencing the magnitudes or directions of credit

flows, market participants and the general public were not much concerned about the ex-ante stance of monetary policies, ex post information on monetary developments largely served purpose.

The situation began changing in the nineties with the abolition of directed lending and gradual liberalization of interest rates; the change process culminating in transition to market based exchange rate of Taka from 31st May 2003. From then on, interest rate and exchange rate are both market driven, exchange rate is no longer in the role of nominal anchor for prices. In this fully market based regime ex-ante pronouncement of monetary policy stance has assumed importance in anchoring inflation expectations, and in influencing market exchange rate and interest rate trends towards growth paths of monetary aggregates consistent with pre-announced target ranges for output growth and inflation.

2. Monetary policy objectives and framework

Both in developed and developing economies, monetary policies seek to maintain price stability underpinned by sustained stable output growth in the face of internal and external shocks that are faced from time to time. In developed economies with production factors at or close to full employment, monetary policies are formulated typically with the output gap (difference between the actual and the longer run potential output) in view; the policy stance is eased to provide stimulus at times of slowdown when actual output lags the longer run potential, and the stance is tightened to slow things down when the economy overheats with actual output running ahead of the sustainable longer run potential. Diagnosing and treating asset price bubbles symptomatic of overheating are major issues of current debate in monetary policy. For developing economies like Bangladesh with significant underemployment/under exploitation of production factors, stimulating higher growth is imperative for rapid reduction and eventual elimination of endemic poverty, and is therefore an overriding priority. The stimulus provided by monetary policies in accommodating the growth aspirations must not however overstep towards macroeconomic imbalance destabilizing and jeopardizing future growth; and the pursuit of monetary policies comprise the continual balancing act of supporting the highest sustainable output growth while adjusting smoothly to internal and external shocks that the economy encounter from time to time.

2.1 The policy target(s)

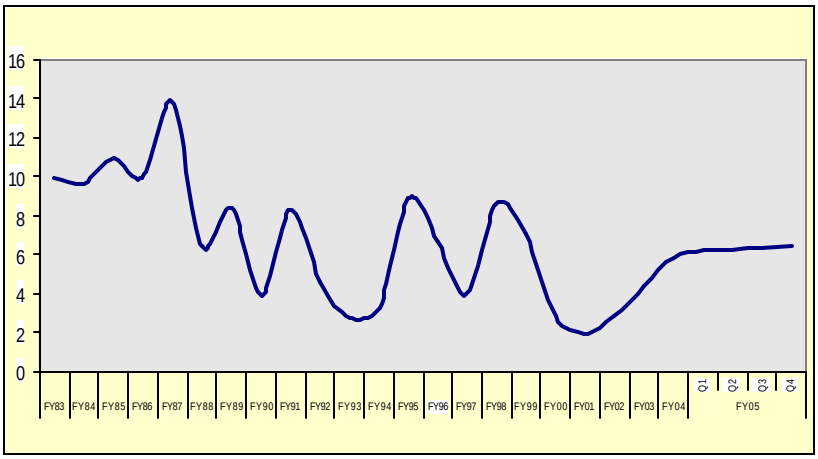
As already mentioned, monetary policies in Bangladesh have the objective of maintaining price stability underpinned by the highest sustainable output growth, and are therefore formulated around inflation and output growth rates as the basic policy targets. Levels and growth paths of relevant monetary aggregates such as reserve money, broad money and domestic credit are also projected and monitored as intermediate targets in conducting monetary policies.

Inflation target: CPI inflation, expressed as the rate of change of Consumer Price Index, is used in Bangladesh for measuring price stability in conducting monetary policies. Use of CPI inflation (sometimes also termed 'headline inflation') for this purpose is intuitively appealing because of its straightforward nexus with actual inflation experience of individuals and households. This has however the drawback of somewhat understating the actual underlying price stability, because of inclusion of items with high seasonal price volatility in the consumption basket. Some central banks opt for suitably defined 'core inflation' excluding from consumption basket items with typically high seasonal price volatility, viewed as better representing the actual underlying inflation trend.

Usefulness of such exclusion exercise is diminishing however, particularly in respect of tradables, with increasing external openness of the economies; domestic consumer prices of tradables are being increasingly influenced by international prices, apart from local conditions. Nevertheless, Bangladesh Bank is taking up empirical exercises to explore whether a 'core inflation' more stable than the CPI inflation can be suitably defined and used for monetary policy purposes.

The target level of CPI inflation is chosen taking into account the country's past long run inflation performance, and the domestic and external factors driving the current trend of domestic inflation. Apart from a brief spell of relatively high instability of prices in the mid seventies, inflation in Bangladesh has always been contained at moderate levels. From the early nineties, annual average CPI inflation has consistently been at single digit levels (chart-1), reaching a low of 1.94 percent in FY01 and edging upwards thereafter, in line with the bottoming out and subsequent upswing of global inflation. Other than the administered energy prices, consumer prices in Bangladesh are market driven, and as mentioned earlier, trends of domestic prices of tradables in the open economy are increasingly mirroring global price trends, the divergence between domestic and global inflation arising largely from the price trends of the non-tradables. Consumer price inflation in developing economies like Bangladesh will over the medium term continue to be somewhat higher than in developed economies, as the lower price levels of non-tradables in developing economies increase with rising income, towards eventual converge with the higher price levels of developed economies.

Chart-1**:** *Inflation (CPI, 12-month average)*



The September 05 issue of IMF World Economic Outlook (WEO) projects some easing of global prices of fuel and non fuel commodities in 2006, but oil prices have firmed up again lately after some weeks of softness, and there is no clear evidence yet of onset of a downswing in global prices of tradables. Consequently, CPI inflation in Bangladesh is not expected to be impacted, between now and the end of FY 06(June 2006), by much downward influence from the external sector. Domestic influences on consumer prices up to June 2006 are expected to be benign, with a good aman rice harvest and no internal shock affecting output or supplies. A likely upward revision of administered energy prices to complete the remaining pass through of higher fuel import prices to consumers may however impart some upward bias to the current CPI inflation level. Overall, the annual average CPI inflation is projected to remain substantially unchanged from the current level (6.9 percent as of November 2005) over the first half of 2006, and is seen as unlikely to exceed 7.0 percent by June

2006 given the tightened monetary stance now being pursued. As the expected levelling off and downswing phase of global inflation materialize in 2006, inflation in Bangladesh will also level off and edge downward, to a tentatively estimated 6.0 percent level by June 2007. Variation of up to one percentage point on either side of the targeted level will be viewed as normal in accommodating the random elements in the unfolding economic realities. The mid-single digit inflation level targeted here is well within the growth supportive range in inflation-output trade off for developing economies. Empirical studies[(1)] across broad geographic and time horizons support the intuitively appealing hypothesis that neither very high nor very low inflation levels are conducive of growth; high double digit inflation destabilize and jeopardize growth by increasing uncertainties in investment decisions, while very low inflation levels create recessionary environment with high real costs retarding investment and with prices not reliably signalling relative scarcities.

Growth target: GDP growth projections of the Medium Term Macroeconomic Framework (MTMF) in the government's National Strategy for Accelerated Poverty Reduction(NSAPR), modified appropriately in the light of unfolding actual developments, are used as output growth targets for the purpose of monetary policies. The MTMF projected 6.5 percent and 6.8 percent real GDP growth for FY06 and FY07 respectively. In view of the good post flood recovery of agricultural output and the better than expected holding up of apparels export demand after MFA expiry, real GDP growth targets for the purpose of monetary policies have been taken as 6.8 percent and 7.0 percent respectively for FY06 and FY07. Unavailability of intra year GDP growth estimates is a constraint in appropriate ongoing revision of monetary and other macroeconomic policies in the context of unfolding economic realities. Strengthening the capabilities of BBS towards regular estimation and release of reliable quarterly GDP data has therefore assumed priority.

2.2 Conducting of monetary policies

As mentioned in the foregoing, the near term inflation objective of monetary policies will be to contain the annual average CPI inflation, on an upswing phase since 2001, at around the current level under 7.0 percent. Monetary policies will therefore be on tightened stance until inflation levels off and enters its downswing phase.

Instruments employed

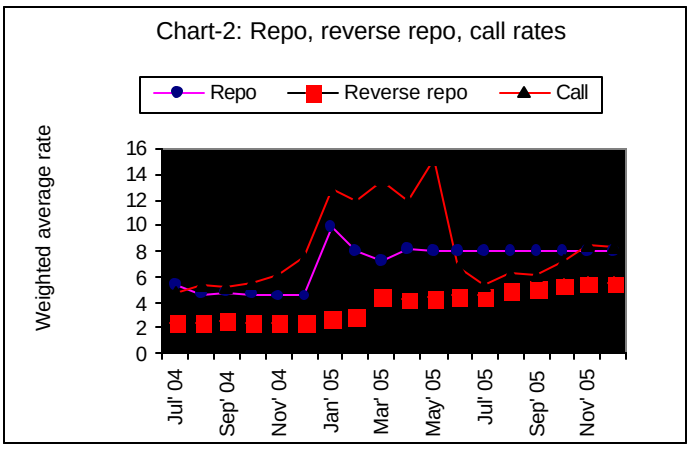
? **Interest rate:** In tightening the monetary policy stance, key policy rates (treasury bill/bond auction yields, repo and reverse repo interest rates of Bangladesh Bank) have been raised and maintained on uptrend (Table-1 , Charts -2,3), for these in turn to raise the rates of other financial costs and returns, restraining demand growth in the real sector.

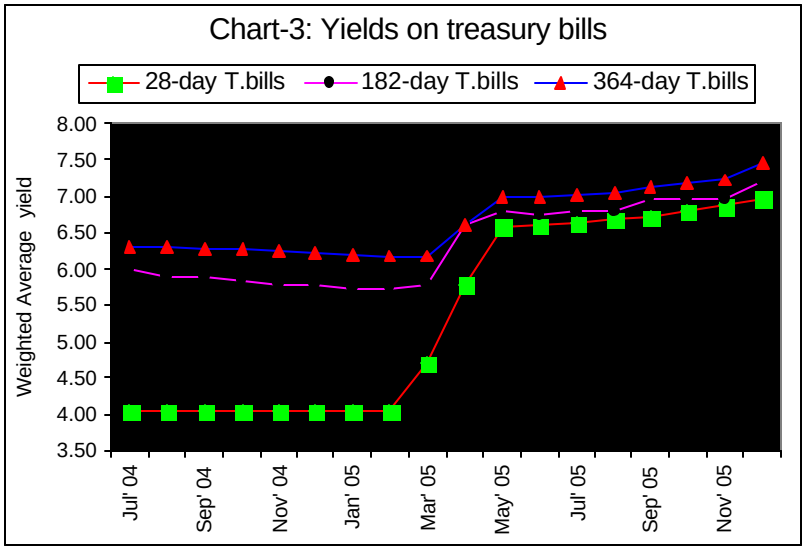
Table-1: Interest rate developments[/a]

Period	T.bills				T.bonds			Repo		Reverse repo		Lending	Deposit
FY 05	28-day	91-day	182-day	364-day	2-yr	5-yr	10-yr	1-2 day	3-9 day	1-2 day	3-9 day		
Jul.	4.04	5.00	5.99	6.30	7.00	...	...	5.31	...	2.48	2.58	...	...
Sep.	4.05	4.94	5.88	6.29	6.91	...	...	4.75	...	2.60	2.62	10.90	5.68
Dec.	4.05	4.91	5.78	6.23	6.76	7.87	9.21	...	...	2.53	2.77	10.83	5.56
Mar.	4.71	5.45	5.78	6.18	6.70	...	...	7.22	8.00	4.50	4.03	10.74	5.58
Jun.	6.60	...	6.75	7.00	7.18	8.75	9.93	...	...	4.50	4.63	10.93	5.62
FY 06													
Jul.	6.64	6.70	6.80	7.03	7.25	...	...	...	...	4.56	4.95	...	...
Sep.	6.72	6.85	6.98	7.13	7.45	...	...	...	...	5.02	5.47	11.15	5.90
Dec.	6.96	7.02	7.20	7.45	7.75	10.50	11.65	...	8.00*	5.50**	5.69**	...	...

[a]Weighted average rate , * as on 15 December,2005 ;** up to 22 December,2005.

(1) Khan, Mohsin S. and Abdelhak Senhadji, S., 2000, "Threshold Effects in the Relationship Between Inflation and Growth, IMF Working Paper No.00/110 (Washington:IMF).





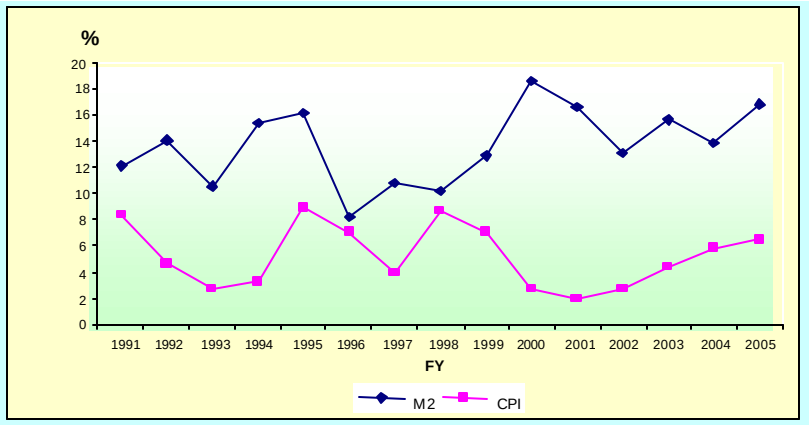
? **Revision of the statutory ratios for scheduled banks:** In advanced economies with well developed deep and liquid money and financial markets, the policy interest rate interventions alone suffice in tightening or easing monetary stance to the extent desired; other interest rates representing the various financial costs and returns in the market adjust promptly and flexibly in response to changes in the policy interest rates. In developing economies like Bangladesh where the transition to market based regime is relatively recent, financial deepening is generally low with consumption and investment activities still substantially self financed (broad money to GDP ratio in Bangladesh, 41 percent as of June 2005, is steadily increasing but is still way behind the typical developed economy levels of 100 percent or higher), the markets are yet to gain sufficient depth and liquidity to respond with desired speed and flexibility to changes in policy interest rates. To compensate for this inadequate interest rate responsiveness of markets, policy interest rate interventions in Bangladesh are at times supplemented by changes in the Cash Reserve Requirement (CRR) and Statutory Liquidity Ratio (SLR) for scheduled banks, thus influencing the volumes as well as costs of funds available for credit growth. In October 2005, the CRR and

SLR were revised upward from 4.5 percent and 16.0 percent respectively to 5.0 percent and 18.0 percent of time and demand liabilities of scheduled banks, with a view to slowing down overall domestic credit growth as well as the growth of credit to the private sector.

2.3 Monitoring framework for monetary policy implementation: monetary program and the intermediate targets

Annual monetary programs based on the inflation and GDP growth targets of monetary policy provide a convenient framework for interventions in monetary developments, and for monitoring the outcome of the monetary policy stance pursued. Premised on the quantity theory assumption that inflation rises and falls with increase and decrease in the rate of growth of money stock, the annual monetary program targets a growth path for broad money (M2, the aggregate of currency in circulation, demand deposits and time deposits) consistent with the inflation and real GDP growth targets of monetary policy, allowing for the likely change in income velocity of money. Levels of another monetary aggregate, Reserve Money (currency in circulation plus balances of banks with the Bangladesh Bank, also termed 'high powered money') are regulated with open market operations (periodical auctions of treasury bills/bonds) and daily repo, reverse repo auctions; towards maintaining broad money on the growth path targeted in the monetary program. As would be seen from the FY05 program vis-a-vis outcome (Table-2), the monetary program is a rough-hewing rather than precision-hone tool, with significant deviations between program and outcome. This is because the positive correlation between inflation and growth rate of money stock holds well only over the longer term; shifts in money demand (and the consequent instability of the reserve money multiplier) arising from financial innovations and from increased financial deepening in developing economies often result in substantial short term departure from the expected positive correlation (Chart-4).

Chart- 4: Annual average CPI inflation and M2 growth rate



The monetary program is nevertheless very useful as framework for gauging the growth supportiveness and the inflation stabilization effectiveness of the monetary policy stance pursued. The broad money growth target of the monetary program has further disaggregated sub targets on the asset and liability side. On the asset side, the net foreign asset and net domestic asset growth outcome relative to the targets and to each other indicate the relative performance in the domestic and external sectors of the economy; the outcome in growth of credit to the public and the private sectors relative to program targets indicate whether the available credit volumes were short of or in excess of what was needed for the targeted GDP growth. On the liability side, the growth rates of currency in circulation and demand deposits indicate the extent of inflationary bias. In FY05, growth rates of

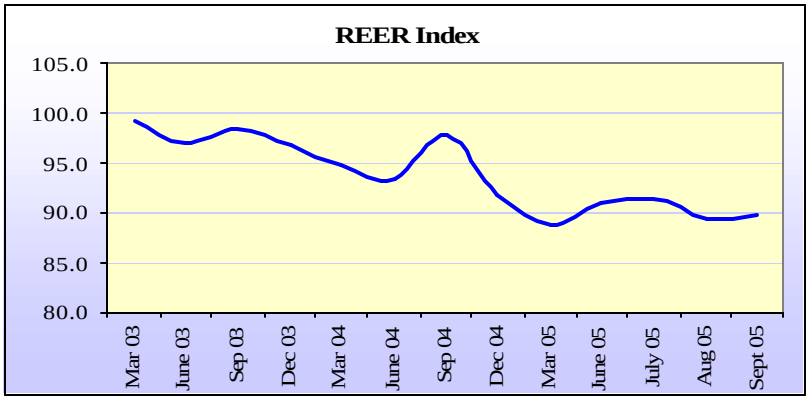
Table-2: Bangladesh: Monetary Program, June 2004-June 2006

	Jun-04		Sep-04		Dec-04		Mar-05		Jun-05		Sep-05		Dec-05	Mar-06	Jun-06
	Prog.	Actual	Prog.	Actual	Prog.	Actual	Prog.	Actual	Prog.	Actual	Prog.	Actual	Prog.	Prog.	Prog.
	(End of period; in billions of taka)														
Net foreign assets	158	163	172	187	183	192	184	194	179	186	187	180	179	185	200
Bangladesh Bank	110	116	123	134	135	147	134	148	128	130	134	121	119	124	138
Commercial banks	48	47	49	53	48	45	50	46	51	55	53	59	60	61	63
Net domestic assets	1,118	1,134	1,139	1,147	1,219	1,213	1,255	1,216	1,302	1,328	1,337	1,377	1,438	1,464	1,530
Domestic credit	1,152	1,219	1,221	1,234	1,300	1,313	1,341	1,337	1,402	1,432	1,439	1,495	1,564	1,603	1,675
Net credit to central government	204	204	199	189	214	209	222	201	240	239	236	246	261	279	302
Credit to other nonfinancial public sector	59	69	59	68	73	68	76	71	76	86	78	104	109	111	112
Credit to private sector	889	946	963	977	1,011	1,037	1,043	1,065	1,086	1,107	1,125	1,145	1,194	1,213	1,261
Other items, net	-34	-85	-84	-87	-81	-100	-86	-121	-100	-104	-103	-118	-126	-139	-145
Broad money (M2)	1,276	1,297	1,311	1,334	1,402	1,406	1,439	1,410	1,481	1,514	1,524	1,557	1,617	1,649	1,730
Currency in circulation	154	158		167		170		176	194	185	183	...	201	206	209
Deposits	1,122	1,139		1,167		1,236		1,234	1,303	1,329	1,341	...	1,417	1,443	1,521
	(Year-on-year percentage change)														
Net foreign assets	13.0	16.3	15.4	25.2	17.4	23.2	17.7	24.1	10.0	14.2	0.2	-3.5	-7.0	-4.8	7.8
Net domestic assets	11.8	13.4	11.0	11.8	15.7	15.2	17.6	14.0	14.8	17.1	16.5	20.0	18.5	20.4	15.2
Domestic credit	11.4	11.9	8.2	14.6	14.5	19.8	17.3	14.2	15.0	17.5	16.6	21.1	19.1	19.9	17.0
Net credit to central government	17.7	7.8	15.3	9.6	17.5	24.6	24.2	20.6	17.7	17.2	24.8	30.4	25.1	38.9	26.5
Credit to other nonfinancial public sector	6.9	23.8	9.0	25.2	19.7	10.8	19.7	13.7	10.6	25.8	14.6	51.8	60.9	56.8	29.4
Credit to private sector	10.3	12.0	12.7	14.3	13.5	18.0	15.8	19.4	14.8	17.0	15.2	17.2	15.2	13.9	13.9
Other items, net	-0.5	-32.3	-18.3	42.8	-32.5	68.5	2.0	16.0	18.1	22.7	17.7	35.9	26.4	15.3	39.6
Broad money (M2)	11.9	13.8	11.5	13.5	16.0	16.3	17.7	15.3	14.2	16.7	14.2	16.7	15.0	16.9	14.3
Memorandum items:															
Broad money multiplier	5.49	5.43	5.53	5.48	5.54	5.62	5.61	5.40	5.57	5.53	5.60	5.56	5.38	5.35	5.44
Broad money velocity	2.62	2.57	2.61	2.56	2.52	2.49	2.52	2.55	2.52	2.43	2.52	2.65	2.44	2.45	2.40

credit to public and private sectors both exceeded program levels (Table-2), showing excess demand and inflationary bias, which also showed up on the liability side in the high growth rates of currency in circulation and demand deposits. These evidences of excess demand and inflationary pressure prompted the further tightening of monetary policy stance for FY06.

The build up of net foreign assets of the banking system in excess of the program levels for FY05, with attendant increase in gross foreign exchange reserves over the end FY04 level, despite the persistent balance of payment pressure throughout FY05, indicate that the market interest rates and the floating exchange rate of Taka adjusted adequately in preserving external competitiveness of Taka, supporting growth in exports and remittance inflows. Bangladesh Bank's interventions in the foreign exchange market at times of high pressure were sparing and limited, intended to avoid extremes of day to day volatility but not to prevent market rates from adjusting in response to demand pressure; the interventions consisted mainly in providing part of the funds needed for meeting the larger oil import bills, by way of overdraft or outright sale in foreign exchange. The preservation of external competitiveness of Taka in the face of balance of payment pressure (with about 10 percent depreciation) in FY05 can also be seen in the trend of Real Effective Exchange Rate (REER) index against a weighted basket of 11 trade partner currencies (Chart-5).

Chart-5: REER index trend



3. Conclusion

As already mentioned, attaining and maintaining the highest sustainable output growth towards rapid reduction of pervasive poverty is the overriding priority for monetary and other macroeconomic policies in Bangladesh. Monetary and fiscal policies have significant mutual impact, and are therefore formulated and conducted in a mutually consistent and coordinated way with reference to the Medium Term Macroeconomic Framework of the NSAPR in attaining the growth, price stability and poverty reduction objectives.

The tightened monetary stance now being pursued is intended not to slowdown output growth but to curb excess demand arising from inflationary expectations, thereby supporting sustained stable output growth over the near and medium term. The fourteen percent growth of credit to the private sector programmed for FY06 (cf. Table-2) would be sufficient to support seven percent real GDP growth if CPI inflation is seven percent, even higher real GDP growth will be supported with lower inflation. The monetary stance is subject to continuous review in the light of evolving situation, may shift to a neutral stance, and may even move further to an accommodative stance as values of key macroeconomic variables change.

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Note: The document can be downloaded from the BB sites as follows: http://bangladeshbank.org.bd